



Business BTEC L2

Year 10

Cambridge Upper Secondary
Student Manual



Prime Books

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Written in British English. Money is shown in euros and measurement is metric. Times are written on the 24 hour clock.

This edition is a **sample build**: it carries Unit 1 of the qualification, Business Purposes, together with the front and back matter the finished book will use. The remaining units are not in this file.

The qualification content areas and assessment criteria referred to in this book are those published by Pearson in the specification for the BTEC International Level 2 qualifications in Business, Issue 1, December 2023. The specification is the authority on what is assessed. This book teaches it.

Editorial Board

The Prime Books Subject Series has been developed under the guidance of the Pedagogical Academic Group for each subject and coordinated by the Pedagogical Team of Prime School.

This publication reflects our shared commitment to academic excellence, educational quality, professional integrity, and the continuous advancement of teaching and learning. Through the collective expertise and dedication of our educators, we aim to provide meaningful and engaging learning resources that support students' academic growth.

We extend our sincere appreciation to the Pedagogical Department and the Content Creation Team of Prime School for their invaluable contributions, dedication, and collaborative efforts in making this publication possible.

Introduction

You are about to study a qualification that is assessed differently from the ones you have taken so far. There is no final paper in Unit 1. Instead you are given an assignment brief, you research two real businesses, and you produce a report that a teacher marks against criteria published by Pearson. The evidence you hand in **is** the qualification.

That changes how a book can help you. Explaining the content is only half of the work, so this book also shows you, at the foot of the teaching, what an assessor is looking for and what a piece of evidence has to do to earn a Pass, a Merit or a Distinction.

Unit 1 asks two questions and they are worth reading before you start.

What is this organisation for? A bakery, a bus company and a food bank all open their doors in the morning, and none of them is trying to do the same thing. Purpose is the first thing you will learn to read, and ownership, size and sector are what shape it.

What is happening around it? No business decides its own weather. Prices, laws, technology, the season and the competition across the street all arrive whether the owner is ready or not. The second half of the unit is about reading that environment and judging how well a business has responded to it.

You will work with real Portuguese organisations throughout: a listed company on Euronext Lisbon, a wine co-operative in the Alentejo, the state railway, and the kind of small business you can walk into on any street in Setúbal. Where a business in this book is constructed for teaching, it says so on the page.

About the codes in the margin. A.P1 and B.M2 are not decoration. Each one names a criterion in the specification, and the page carrying it teaches what you need to meet it. When you plan your assignment, work backwards from those codes.

About the QR codes. Every one goes to a source you can quote in an assignment: a statistics office, the European Commission, a stock exchange, a government service. None of them goes to a video or a game. Scan them while you work, and write down what you found and when, because an assessor asks where a figure came from.

The seven criteria this unit is marked against

Read this table now and again in topic 1.7. The letter tells you which learning aim the criterion belongs to, and the letter after the dot tells you the grade it carries: P for Pass, M for Merit, D for Distinction.

CODE	WHAT YOU MUST DO	WHERE THE BOOK TEACHES IT
A.P1	Identify the purpose of contrasting business organisations	Topic 1.1
A.P2	Describe the types of ownership, and the size, scale and classification of different organisations	Topics 1.2, 1.3, 1.4
A.M1	Compare size, scale, ownership and classification, and their impact on business purpose	Topics 1.2, 1.3, 1.4
B.P3	Describe the characteristics of a selected business environment	Topic 1.5
B.P4	Describe external factors that influence a selected business environment	Topic 1.6
B.M2	Explain the impact of external factors on the environment and operations of a selected business	Topic 1.6
AB.D1	Evaluate how a selected organisation has responded to change in order to achieve its purpose	Topics 1.6, 1.7

Notice what the table does not say. No criterion asks you to write everything you know about a business. Each one asks for a particular **act**: identifying, describing, comparing, explaining, evaluating. Topic 1.7 takes those five verbs apart, because writing a description where the criterion asked for a comparison is the most common way a good report loses a grade.

One more habit, starting today. Whenever you find a figure, write down three things: the number, who published it, and the date you read it. Every statistic in this book is listed that way at the back. Yours will be checked the same way.

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Scope of this edition. Sample build. This volume carries Unit 1 of the qualification, Business Purposes, with the front and back matter the finished book will use. Units 2 and onward are not in this file.

How to use this book

Every topic in this book is built from the same nine parts, in the same order, so that after the first topic you already know what a page wants from you.

PANEL	WHAT IT MEANS FOR YOU
Start here	A question from working life. Answer it before you read on, in a sentence, even if you are guessing
How it works	The teaching. Short on purpose. Read it twice rather than once slowly
Watch one worked through	One example carried all the way to the end, with the thinking shown
Your turn	Numbered practice. The space beside it is yours to write in
Go further	The stretch. Take it when you have finished, or when you want the Merit and Distinction habits
Worth knowing	A verified fact that puts the topic in the real world
What the assessor is looking for	The criterion this page feeds, in plain words, and what your evidence must do
Case	A business situation. The panel says whether it is a real organisation or one built for teaching
Keywords	The words the unit expects you to use accurately. They are defined again in the glossary

Answers to every numbered question are printed at the back, by topic. Use them after you have written something, not instead of writing something. Open answers carry acceptance criteria rather than one right sentence, because that is how your assignment will be marked.

The glossary at the back holds every keyword, with the topic it comes from.

Sources and references lists every statistic in this book, the organisation that published it, and the date it was checked. Your own assignment needs the same list. Copy the habit.

Business Purposes

30 guided learning hours · assessed by a Pearson Set Assignment

Three doors open on the same street at 07:00. Behind the first, a bakery is already selling. Behind the second, a shop unit is being fitted out for a company that has never made anything, and never will, because it moves other people's goods. Behind the third, volunteers are sorting food that nobody will pay for.

All three are organisations. Only two of them want your money. None of them can be understood without asking what it is for.

In this unit you will:

- A · Understand the purpose and ownership of business
- B · Understand the environment in which businesses operate

By the end you will be able to name what an organisation is for and prove it, sort any business by ownership, size, scale and sector, describe the environment a business trades in, and judge how well it has responded when that environment changed.

A

Purpose and ownership

- 1.1 what a business is for
- 1.2 who owns the business
- 1.3 size and scale
- 1.4 primary, secondary, tertiary

B

The environment it trades in

- 1.5 reading an environment
- 1.6 the six external factors
- 1.7 preparing your assignment
- 1.8 what we learned

What to notice: the unit runs from what a business is **for** to what happens **around it**, and the last two topics turn both halves into the evidence your assignment is marked on.

Topic 1.1

What a business is for

START HERE

A bakery in Setúbal opens at 07:00 and closes at 20:00. Next door, a company with three vans and no shop front collects pastries at 06:00 and delivers them to fourteen cafés before the bakery has served its first customer.

Neither could survive without the other. Write one sentence for each saying what it exists to do. Do not use the word business in either sentence.

HOW IT WORKS

An organisation's **purpose** is what it exists to do. It is not the same as what it sells, and it is not the same as how well it is doing. Purpose is the answer to a simpler question: if this organisation closed tomorrow, what would stop happening?

The specification names seven purposes, and most organisations hold more than one at a time.

Production and supply of goods. Making something physical, or bringing it to where it can be bought. A furniture workshop in Paços de Ferreira produces. A wholesaler that never makes a chair still supplies them.

Provision of services. Selling work rather than an object. A dentist, a driving school and a software company all sell services, and none of them hands over a thing you can drop.

Distribution of goods. Moving goods between the people who make them and the people who use them. Distribution is invisible when it works, and it is the whole reason the second door on that street exists.

To generate revenue. Revenue is the money that comes in from selling. An organisation can raise a great deal of revenue and still fail, which is why revenue is a purpose and not a result.

To generate profit. Profit is what is left after every cost is paid. It is the purpose that lets an owner stay open, invest, or take a wage.

Community engagement and support. Acting for the place the organisation sits in: sponsoring a junior team, training local apprentices, keeping a service open in a village that a spreadsheet would close.

Provision of not-for-profit support and services. Meeting a need without selling anything at all. A food bank, a residents' association and a school library run on the same purpose.

SOLD IN A MARKET

Production and supply of goods

Provision of services

Distribution of goods

To generate revenue

To generate profit

MET WITHOUT A SALE

Community engagement and support

Not-for-profit support and services

one organisation may hold several of these at once

FIGURE 1.1 The seven purposes, split by whether somebody pays for the result. Read the arc as the overlap: a company can trade and support its community in the same week.

REVENUE AND PROFIT ARE NOT THE SAME WORD TWICE

This distinction is worth more marks than any other in the unit, because pupils lose them by using the two words as though they meant money.

Revenue is everything that comes in. **Costs** are everything that goes out to keep trading. **Profit** is the difference, and it can be negative, in which case it is a loss.

WATCH ONE WORKED THROUGH

Padaria da Praça is a bakery built for this book, using the shape of a real small bakery's month.

In March it sold €18,400 of bread, pastries and coffee. Its costs that month were flour and other ingredients €5,600, wages €7,200, rent €1,450, electricity €980, and everything else €760.

Step 1. Add the costs. $5,600 + 7,200 + 1,450 + 980 + 760 = \text{€15,990}$

Step 2. Take the costs from the revenue. $18,400 - 15,990 = \text{€2,410}$

The bakery's revenue was €18,400 and its profit was €2,410. Notice what happens if the owner talks about "making €18,400 in March": it sounds like seven times more success than the month actually produced.

Step 3. Say what it means. €2,410 has to cover the owner's own pay, the oven that will eventually need replacing, and any month when the tourists do not come. Purpose here is profit, and the number says the purpose is being met, narrowly.

REVENUE €18,400



COSTS €15,990



PROFIT €2,410



13.1 per cent of what came in

FIGURE 1.2 The same month drawn twice. The brass strip is the whole of the profit: notice how little of the revenue bar it occupies, which is why the two words cannot be used as though they meant the same thing.

WHAT THE ASSESSOR IS LOOKING FOR · A.P1

A.P1 asks you to **identify the purpose of contrasting business organisations**. Two conditions hide in that sentence.

Contrasting means the two organisations must be genuinely different, ideally in ownership and sector as well as size. Two cafés on the same street do not contrast.

Identify the purpose means naming it in the specification's own terms, and showing the evidence you read it from: a mission statement, an annual report, a price list, a charity's registration. A purpose you assumed is not evidence.



PORDATA · ENTERPRISE STATISTICS FOR PORTUGAL

How many businesses does Portugal really have? Find the current count and note the year beside it, because a figure without a year cannot be used as evidence.

<https://www.pordata.pt/pt/estatisticas/empresas>

WORKING SPACE

YOUR TURN

1. Name the main purpose of each organisation, using the seven purposes above: a driving school; a bottled water plant; a food bank; a haulage firm with twelve lorries; a village pharmacy that also delivers to housebound patients.
2. A company sells €96,000 of goods in a year and has total costs of €91,500. State its revenue and its profit.
3. The following month the same company sells €7,800 and has costs of €8,450. State the profit, and write the correct word for a negative one.
4. Give one organisation you have used this week whose purpose is **not** profit, and say how you know.
5. Explain, in two sentences, why an organisation can raise high revenue and still close.

GO FURTHER

Pick any organisation with a public website and find two statements of purpose on it that do not agree: for example a mission page that speaks about community and an investor page that speaks about growth. Write 80 words on which one the organisation's actual decisions support. This is the habit A.M1 and AB.D1 reward later in the unit.

KEYWORDS

purpose · revenue · costs · profit · loss · goods · services · distribution · not-for-profit · community engagement

WORKING SPACE

Topic 1.2

Who owns the business

START HERE

Two shops sit side by side. One has a hand-painted sign with a family name on it. The other has a small line of type by the door reading **Lda**.

If both fail with money owed, one owner can lose their house and the other cannot. Which is which, and why do you think the law bothers to make the difference?

HOW IT WORKS

Ownership decides three things that matter more than the name over the door: who takes the decisions, who takes the profit, and who takes the loss.

Sole trader. One owner, trading in their own name. Fast to set up, keeps every decision and every euro of profit, and has **unlimited liability**: in law the owner and the business are the same person, so a business debt is a personal debt.

Partnership. Two or more owners under an agreement setting out shares of profit and of responsibility. More capital and more skills than a sole trader, and in the ordinary case still unlimited liability, so one partner's decision can reach another partner's savings.

Private limited company (in Portugal, Lda). A company in its own right, owned by shareholders whose liability is **limited** to what they put in. Shares cannot be offered to the public. Accounts must be filed, so the price of protection is that strangers can read your numbers.

Public limited company (in Portugal, S.A., when listed). Shares can be bought and sold by the public on a stock exchange. This raises capital that no family could raise, and hands part of the control to whoever buys, along with heavy reporting duties.

Charity. Exists for a stated public benefit. It may trade, and it may hold money, but any surplus goes back into the cause rather than to owners.

Social enterprise. Trades like a business and exists like a charity: it sells goods or services, and its purpose is a social one it reinvests its surplus into.

Voluntary organisation. Runs mainly on unpaid work for a shared aim, such as a residents' association or a sports club.

Co-operative. Owned by its members, who are usually the people who supply it, work in it or buy from it. One member has one vote regardless of size, and the surplus is shared by use rather than by shareholding.

Government. Owned by the state on behalf of everybody, funded by taxation or by charges, and answerable to a ministry rather than to shareholders.

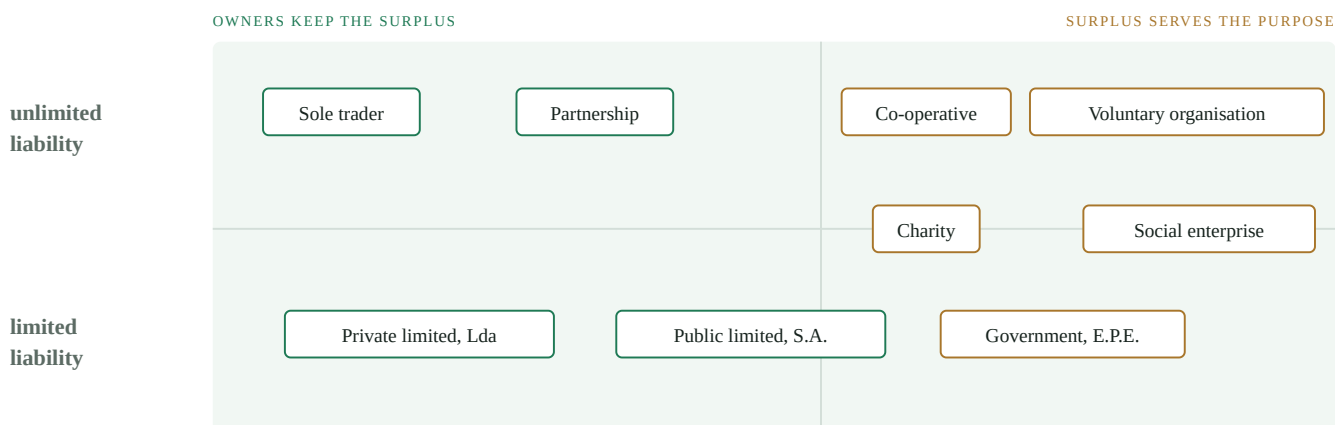


FIGURE 1.3 Nine forms of ownership placed on the two questions that actually separate them: who carries the loss, and who the surplus is for. Anything on the left of the line has owners waiting to be paid.

CASE · THREE REAL PORTUGUESE ORGANISATIONS

These three are real, and each can be checked from a public source. The source line for each is in Sources and references at the back.

Jerónimo Martins, SGPS, S.A. trades as a listed company on Euronext Lisbon under ISIN PTJMT0AE0001. Anybody may buy a share, and with it a vote and a claim on profits, which is the whole difference between a public company and a private one.

Adega de Borba, in the Alentejo, is a wine co-operative with more than seventy years in the sector. Its growers are its members: they supply the grapes and they own the winery that presses them.

CP · Comboios de Portugal, E.P.E. is a public business entity whose mission is passenger rail transport. The State's holding is registered with the Entidade do Tesouro e Finanças. Nobody can buy a share in CP, and the decision to keep an unprofitable rural line open is therefore a different kind of decision from the one a listed company would take.

WORTH KNOWING

A private limited company can be started in Portugal in a single appointment through the state service **Empresa na Hora**, which creates sociedades por quotas, unipessoais por quotas and sociedades anónimas at a counter. The legal form that protects an owner's house is an administrative step, not a privilege.



GOV.PT · CRIAR UMA EMPRESA NA HORA

What creating a company actually involves. Read which legal forms the service creates, and match them to the ownership types on the page opposite.

<https://www.gov.pt/servicos/criar-uma-empresa-na-hora>



EURONEXT LISBON · THE PORTUGUESE MARKET

Who owns a public company, share by share. Pick one listed company and find something a private company would never have to publish.

<https://live.euronext.com/en/markets/lisbon>

WATCH ONE WORKED THROUGH

Two friends run a bicycle repair workshop as a partnership. In the third year they take a €40,000 loan for a second unit, and the business fails owing €26,000.

As a partnership. Liability is unlimited and joint. The €26,000 is owed by the partners personally. If one cannot pay, the creditor may pursue the other for the whole amount.

As an Lda. The company owes the €26,000. The shareholders lose the capital they put in, and their personal property sits outside the debt, unless they signed a personal guarantee for the loan, which banks routinely ask small companies for.

The judgement A.M1 wants. The legal form did not change the failure. It changed who carries it, and how much a bank would lend in the first place.

WHAT THE ASSESSOR IS LOOKING FOR · A.P2 AND A.M1

A.P2 asks you to **describe** ownership types. A description names the form, says who owns it, who is liable and where the capital comes from.

A.M1 asks you to **compare** and to link the comparison to purpose. A comparison needs a shared measure: liability, access to capital, speed of decision, public reporting. Then it needs the sentence most learners leave out, which is what the difference **does** to what the organisation is trying to achieve.

YOUR TURN

1. State the form of ownership for each: a plumber trading under their own name; a supermarket chain whose shares trade on Euronext Lisbon; a food bank; a winery owned by the growers who supply it; the national rail operator.
2. Give one advantage and one disadvantage of a partnership compared with a sole trader.
3. Explain why limited liability makes it easier for a company to borrow, and one reason a bank may still ask an owner for a personal guarantee.
4. A social enterprise and a charity both run a café. State the difference in what happens to the surplus.
5. Compare a co-operative with a public limited company on **who votes** and **who receives the surplus**, and say how each difference shapes purpose.

GO FURTHER

Find the ownership form of two organisations in your own town, one that trades and one that does not. Note where you found the evidence, not just what it says. An assessor accepts a company registration or an official page, and does not accept a social media biography.

KEYWORDS

sole trader · partnership · limited liability · unlimited liability · shareholder · private limited company · public limited company · charity · social enterprise · voluntary organisation · co-operative · public business entity

WORKING SPACE

Topic 1.3

Size and scale

START HERE

A company with four staff sends parts to eleven countries. A company with three hundred staff sells everything it makes within forty kilometres of its factory.

Which one is bigger? Say what your answer depends on.

HOW IT WORKS

Size and scale are two different measurements, and the unit expects both.

Size is measured by the number of staff, in four bands.

Scale is the geographical reach of the trading: local, regional, national, European, or global. A micro business can trade globally from a laptop, and a large employer can be strictly local, which is why the two measures are kept apart.

SIZE, BY HEADCOUNT

Micro	up to 9 staff	turnover or balance sheet up to €2m
Small	10 to 49 staff	up to €10m
Medium	50 to 249 staff	turnover up to €50m, balance sheet to €43m
Large	250 staff and more	not in the SME definition

THE EU DEFINITION ALSO TESTS MONEY

FIGURE 1.4 The four size bands used by this qualification, with the money test the European Commission adds. Use headcount in your assignment: it is the figure a company actually publishes.

Headcount bands: qualification specification. Money tests: European Commission, SME definition, checked 2026-08-13.

The staff bands used by the qualification are the headcount bands of the European Commission's SME definition, which adds a financial test: an enterprise also has to sit under a turnover or balance sheet ceiling to count as micro, small or medium sized. Headcount is the test you will use in your assignment, because it is the one you can find.

WORTH KNOWING

Portugal had **1,593,415 enterprises** in 2024, counting both companies and people trading in their own name. In the same year there were **532,174** non-financial companies. The difference, roughly two thirds of the total, is the scale of trading done by people who are the business rather than employed by one.

PORTUGAL, 2024

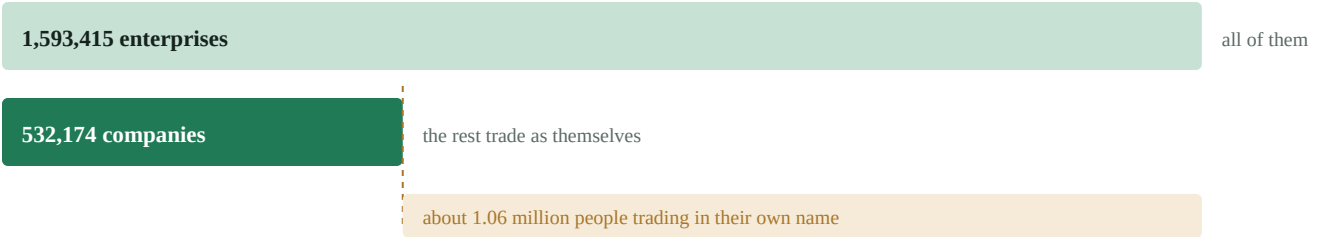


FIGURE 1.5 Two counts of the same country. The narrow bar is the one most people mean by the word business; the wide bar is what Portugal actually contains.

INE via PORDATA, 2024; INE, Empresas em Portugal, definitive results, published 2025-12-11. Checked 2026-08-13.



EUROPEAN COMMISSION · THE SME DEFINITION

The full definition, including the turnover and balance sheet tests that headcount alone leaves out.

https://single-market-economy.ec.europa.eu/smes/sme-fundamentals/sme-definition_en

WATCH ONE WORKED THROUGH

Four organisations, sorted on both measures at once. This is the table A.P2 wants, and the sentence after it is what turns A.P2 into A.M1.

ORGANISATION	STAFF	SIZE BAND	WHERE IT SELLS	SCALE
Bicycle workshop, Almada	6	Micro	one town	Local
Ceramics maker, Caldas da Rainha	34	Small	Portugal and Spain	European
Food processor, Leiria	180	Medium	Portugal, exports to 9 markets	Global
Retail group, Lisbon	410	Large	national chain of shops	National

The comparison. The ceramics maker employs a twelfth of the staff of the retail group and trades across a border the retail group never crosses. Size limits what an organisation can carry, and scale decides which environment it has to read: the ceramics maker must watch an exchange rate and a customs rule, the retail group must watch a national economy and the shop next door.

WHAT THE ASSESSOR IS LOOKING FOR · A.P2 AND A.M1

Give the number, then the band, then the source. "Medium sized, 180 staff, from the company's own annual report, 2025" is evidence. "Quite a large company" is not.

For A.M1, compare organisations that differ on **both** measures, and say what the difference does to their purpose. Two large national retailers will not produce a comparison worth marking.

YOUR TURN

1. Place each in a size band: 4 staff; 38 staff; 96 staff; 240 staff; 2,600 staff.
2. A firm has 9 staff and customers in four continents. State its size band and its scale, and explain why one word is not enough to describe it.
3. Give one advantage a micro business has over a large one, and one advantage that runs the other way.
4. Using the figures in Worth knowing, explain what the gap between 1,593,415 enterprises and 532,174 companies tells you about Portuguese business.
5. Explain why an organisation might choose to stay small when it could grow.

GO FURTHER

The European Commission's definition adds turnover and balance sheet ceilings to the headcount test. Find them through the QR code above, then explain in 60 words why a definition used to award public funding needs a financial test as well as a headcount.

KEYWORDS

micro · small · medium · large · headcount · scale · local · regional · national · European · global · SME

WORKING SPACE

Topic 1.4

Primary, secondary and tertiary

START HERE

Follow a cork stopper backwards. It was pushed into a bottle by a machine in a winery, cut in a factory, and before that it was bark on a tree in the Alentejo that a worker stripped by hand.

Three organisations, one product. What is different about the **kind** of work in each?

HOW IT WORKS

Classification sorts a business by what it does with materials.

Primary businesses extract what nature provides: farming, fishing, forestry, mining, quarrying.

Secondary businesses turn those materials into finished goods: manufacturing, construction, and the utilities that produce electricity and gas.

Tertiary businesses provide services rather than things: retail, tourism, banking, transport, entertainment, IT, health, education.

The three form a chain, and the same physical object can pass through all of them before anyone buys it.



The bark leaves the estate worth little and reaches the shelf inside a product worth a great deal

FIGURE 1.6 One product, three sectors. Follow the arrows and notice that nothing about the cork changes sector; the work done to it does.

WHERE THE WORK ACTUALLY IS

Classification matters because the three sectors are not the same size and have not moved in the same direction. In Portugal in 2025, of 5,275,300 people in employment, 129,000 worked in the primary sector, 1,286,400 in the secondary sector and 3,859,800 in the tertiary sector.

That is about 2 in every 100 workers in primary, 24 in secondary and 73 in tertiary. The specification calls this the relative growth of tertiary service industries and the relative decline of primary and secondary, and you will meet it again in topic 1.5 as a characteristic of the environment itself.

PEOPLE IN EMPLOYMENT, PORTUGAL, 2025, THOUSANDS

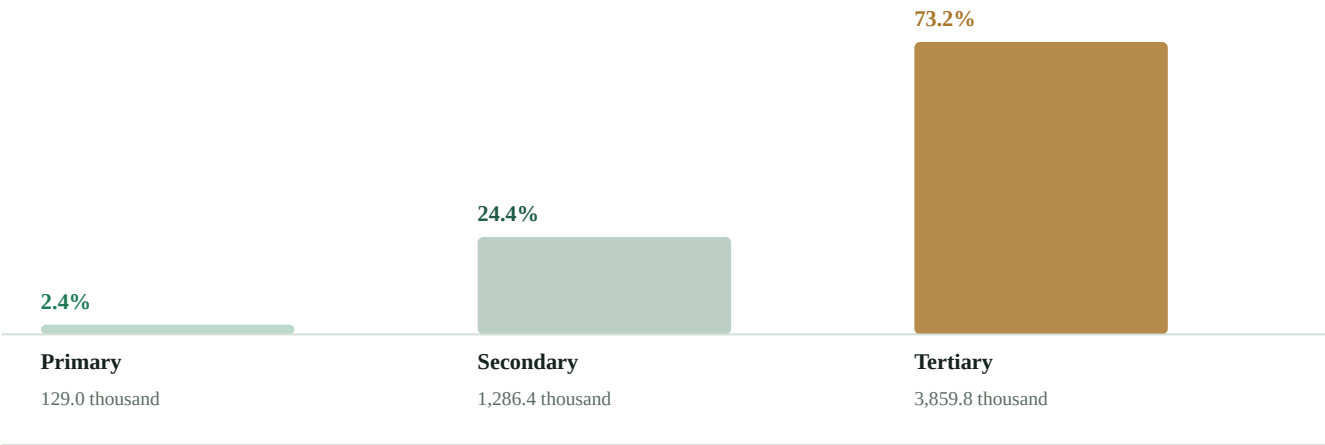


FIGURE 1.7 Where Portugal actually works. Three quarters of employment is in services, which is the sector movement the specification asks you to recognise in topic 1.5.
INE via PORDATA, employed population by sector, 2025. Checked 2026-08-13.



PORDATA · EMPLOYMENT BY SECTOR

Where Portugal actually works. Compare the three sectors with Figure 1.7, and check whether the numbers have moved since this book was printed.

<https://www.pordata.pt/portugal/populacao+empregada+total+e+por+grandes+setores+de+atividade+economica-32>

WATCH ONE WORKED THROUGH

Classify each stage of the cork chain, then say what each stage sells and to whom.

STAGE	SECTOR	SELLS	TO
Stripping bark from cork oaks	Primary	raw cork	processors
Boiling, cutting and grading stoppers	Secondary	finished stoppers	wineries
Bottling, exporting, retailing the wine	Tertiary	a service and a branded product	wholesalers and consumers

The point most answers miss. The value added per worker rises as you move down the table, and so does the distance from the weather. A bad year in the montado reaches the stripper immediately, the factory in a season, and the retailer as a price change months later.

WHAT THE ASSESSOR IS LOOKING FOR · A.P2

Classification is one word, so the marks are in the justification. Name the sector, give the activity that puts it there, and where an organisation spans two sectors, say which activity dominates. A supermarket that bakes its own bread is still tertiary, and you should be able to say why.

YOUR TURN

1. Classify: a sardine cannery; a wind farm; a hotel in Albufeira; an olive grove; a bank; a shipyard.
2. An organisation grows tomatoes, cans them, and sells them in its own shops. Name the three sectors it operates in and the activity in each.
3. Using the employment figures above, calculate the percentage of Portuguese workers in the tertiary sector, to one decimal place.
4. Give one reason the primary sector employs few people yet remains essential.
5. Explain what a decline in secondary employment means for a town whose largest employer is a factory.

GO FURTHER

Some economists add a **quaternary** sector for knowledge work such as research and data. Argue in 80 words whether a software company that never touches a material belongs in tertiary or needs a category of its own. The specification uses three sectors, so say which one you would place it in for your assignment, and why.

KEYWORDS

primary sector · secondary sector · tertiary sector · extraction · manufacturing · services · value added · supply chain

WORKING SPACE

Topic 1.5

Reading a business environment

START HERE

The bakery from topic 1.1 sells 40 per cent more in August than in February, employs a second baker for the summer, and raises no prices at all.

Nothing about the bakery changed. Name three things outside it that did.

HOW IT WORKS

A business environment is everything outside the organisation that shapes what it can sell, at what price, to whom. The specification names nine characteristics. Learn them as questions.

Environment and market size. How many buyers exist at all? A market of forty thousand people has a ceiling a market of four million does not.

Predictability of markets. Can next month be forecast from last month? A pharmacy's demand is steady, a souvenir shop's is not.

Trends. Which way are needs, wants, incomes and the market as a whole moving?

Supply and demand. How much is offered, how much is wanted, and what that does to price.

Demand, local, national and international. Where the buyers are. Each level brings different competitors and different rules.

Competitors. Who else the customer could choose, including the choice of buying nothing.

Relative growth and decline by sector. The long movement out of primary and secondary work and into services, which you measured in topic 1.4.

Increase of global business operations. Supply chains, ownership and competition crossing borders as a matter of routine.

Digitisation and technological influence. How much of the trade now happens through a screen, and what that does to who can reach the customer.

THE MARKET

Market size

how many buyers exist

Predictability

can next month be forecast

Trends

which way needs are moving

THE TRADE

Supply and demand

offered against wanted

Demand level

local, national, international

Competitors

who else they could choose

THE MOVEMENT

Sector shift

out of primary, into services

Global operations

chains crossing borders

Digitisation

how much runs on a screen

FIGURE 1.8 The nine characteristics, grouped as three questions: what the market is, how the trade works, and which way everything is moving. B.P3 wants all nine, evidenced.

SUPPLY, DEMAND AND THE PRICE BETWEEN THEM

Demand is how much buyers will buy at a given price, and it usually rises as price falls. Supply is how much sellers will offer at a given price, and it usually rises as price rises. Where the two meet is the price the market settles at, until something moves one of the lines.

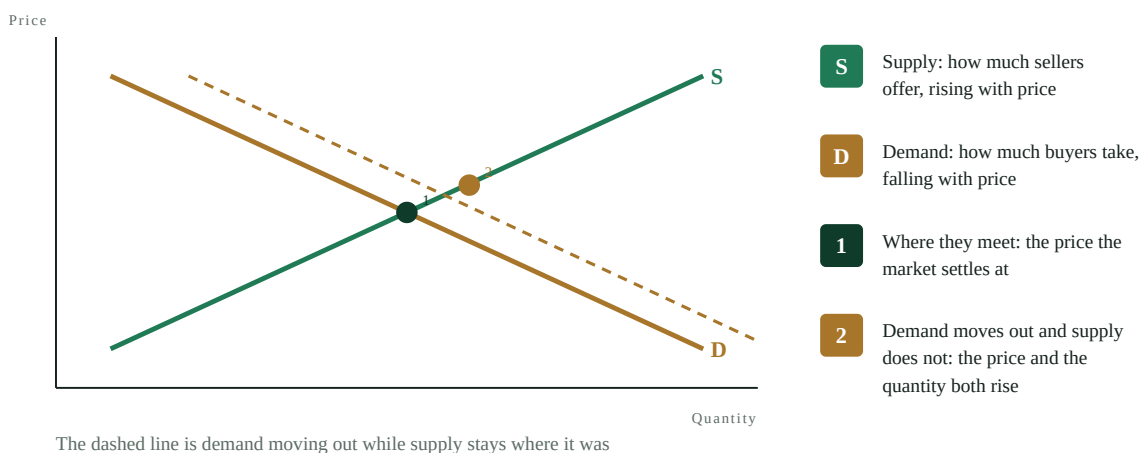


FIGURE 1.9 The two lines and the point between them. What matters for the assignment is not the drawing but the sentence it forces: when one line moves, price and quantity both answer.

Three movements are worth recognising on sight: demand rising with no extra supply pushes price up; supply rising with flat demand pushes price down; and both rising together can leave the price where it was while the market gets larger.

WATCH ONE WORKED THROUGH

Read the environment of Padaria da Praça, using the characteristics in order. This is what B.P3 asks for, and the evidence column is what turns a list into a description an assessor can mark.

CHARACTERISTIC	WHAT IT LOOKS LIKE HERE	EVIDENCE A LEARNER COULD GATHER
Market size	a residential parish plus summer visitors	parish population, municipal tourism figures
Predictability	steady term time, sharp August peak	the bakery's own weekly takings
Trends	more takeaway coffee, more requests for gluten free	till data, supplier orders
Supply and demand	flour prices rose, retail price held	supplier invoices
Demand level	local, with a summer international share	till receipts by month
Competitors	two cafés, one supermarket bakery counter	a walk down the street, price list photographs
Sector movement	tertiary services growing around it	national employment statistics
Global operations	wheat priced on world markets	supplier's price letter
Digitisation	orders arriving by messaging app	count of app orders per week

The judgement. The bakery trades in a small, seasonal, competitive market where its costs are set internationally and its prices are set locally. That single sentence is worth more than the nine rows above it, and it is only available to somebody who wrote the rows first.

WORKING SPACE

WHAT THE ASSESSOR IS LOOKING FOR · B.P3

B.P3 asks you to **describe the characteristics of a selected business environment**, which means one named business, not businesses in general.

Two failures cost marks every year. The first is describing the business instead of its environment. The second is listing characteristics with no evidence attached. Name the characteristic, say what it looks like for this organisation, and say how you know.

YOUR TURN

1. Name the nine characteristics of a business environment from memory, then check.
2. For a hotel in the Algarve, state whether demand is predictable, and justify it.
3. Draw the effect on price of demand rising while supply stays flat, and label both lines.
4. Give one competitor of a village pharmacy that is not another pharmacy.
5. Choose an organisation you know and describe its environment using four of the nine characteristics, with the evidence you would gather for each.

GO FURTHER

Take the same organisation and write the one sentence version, as in the worked example: the kind of market it trades in, where its costs come from and where its prices are set. Distinction answers are built from sentences like that.

KEYWORDS

business environment · market size · predictability · trend · supply · demand · equilibrium price · competitor · digitisation · globalisation

WORKING SPACE

Topic 1.6

The six external factors

START HERE

In the same year, a small exporter faced a new packaging law, a rise in the cost of borrowing, and a customer base that suddenly cared where its products were made.

None of those three arrived from inside the company. Which one would you deal with first, and what does your answer say about how you rank risk?

HOW IT WORKS

External factors are the forces a business does not control and must still answer to. The specification groups them in six, and the six are remembered as PESTLE.

Political. Changes of government, policy, initiatives, trading agreements, elections. A change of policy can create a market or close one.

Economic. Employment, incomes, growth or recession, exchange rates, inflation and deflation. These reach every business, usually through price.

Social. Lifestyle, buyer behaviour, religion, equality, demographic change, tastes and preferences. Social change is slow and then sudden.

Technological. New technology, computer aided manufacturing, automation, digitisation. It changes cost, and it changes who your competitors are.

Legal. New or changed law: employment, consumer protection, data protection, regional and trading bloc rules. Outline understanding is expected, and the law current at the time of teaching is the law you use.

Environmental. Climate change, waste, recycling, emissions, water, sustainability and local impact. Increasingly this arrives as both a cost and a customer demand.

WORKING SPACE

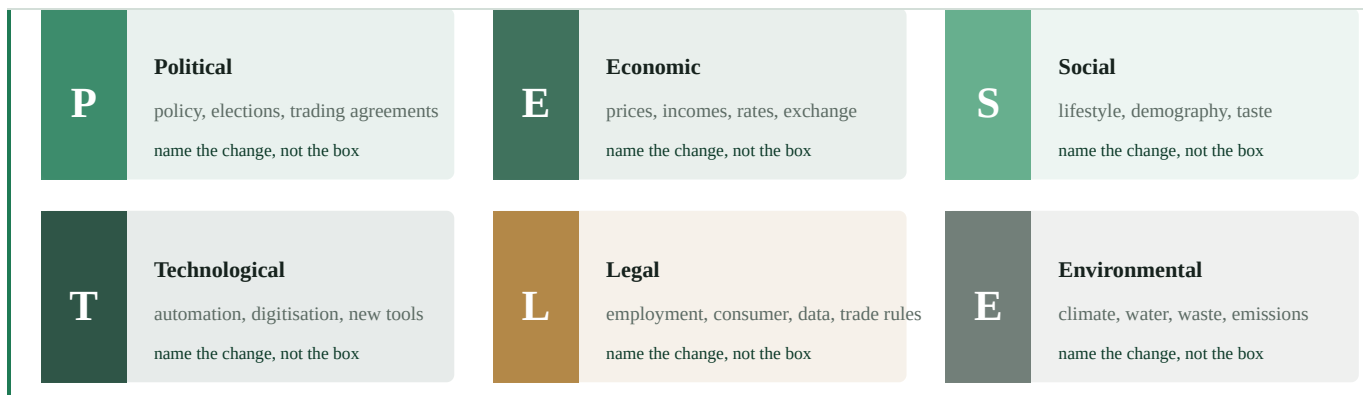
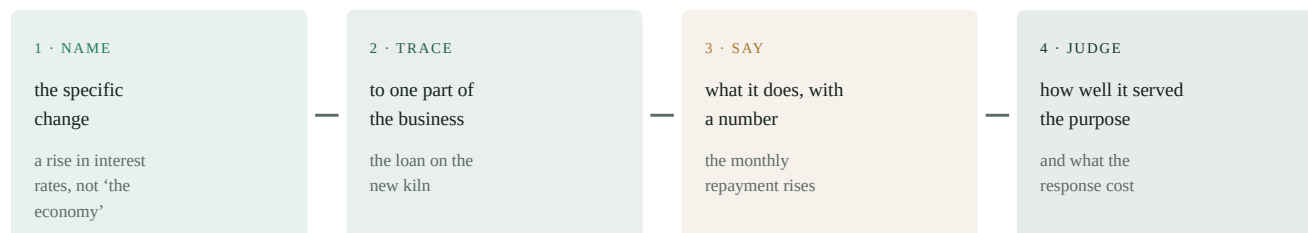


FIGURE 1.10 The six external factors. The line under each one is the difference between a Pass and a Merit: a factor named as a category earns nothing.

FROM FACTOR TO IMPACT, WHICH IS WHERE THE MARKS ARE

Naming a factor earns a Pass. Explaining an impact earns a Merit, and an impact has a direction and a size.

Work in three steps. **Name** the factor precisely, so "a rise in interest rates" rather than "the economy". **Trace** it to one part of the business: a cost, a price, a volume, a rule to comply with, a skill to hire. **Say what it does**, with a number where you have one.



Steps 1 to 3 are B.P4 and B.M2. Step 4 is the whole of AB.D1, and it is the step most reports skip.

FIGURE 1.11 The four steps from a factor to a judgement. Each arrow is a sentence you have to write; a report that jumps from step 1 to step 4 has an opinion rather than an evaluation.

WATCH ONE WORKED THROUGH

A constructed exporter, Cerâmica do Vale, with 34 staff, selling tableware in Portugal and Spain.

FACTOR	THE SPECIFIC CHANGE	TRACED TO	THE IMPACT
Economic	borrowing costs rise	the loan on the new kiln	monthly repayment rises, so the price of delay rises with it
Legal	packaging rules tighten	outer cartons	new supplier, higher unit cost, six weeks of relabelling
Social	buyers ask where goods are made	the product page and the catalogue	origin becomes a selling point, which suits a small maker
Technological	a kiln control system halves firing waste	production cost	fewer seconds, more first-quality output per firing
Political	a support programme for export fairs	the sales plan	two fairs attended that would not have been affordable
Environmental	a dry year raises water charges	glazing and cleaning	a small cost rise, and a reason to recirculate water

Now the evaluation, which is AB.D1. Cerâmica do Vale answered the legal change by complying and the technological one by investing, and the second paid for the first. Its purpose, staying a maker rather than becoming an importer, survived because it treated the environment as something to read rather than something to suffer. A weaker answer would list six factors and stop; an evaluation weighs which response mattered and says why.

WHAT THE ASSESSOR IS LOOKING FOR · B.P4, B.M2 AND AB.D1

B.P4 describes external factors influencing a selected environment. Precision: name the actual change, not the category.

B.M2 explains the impact on the environment and operations of a selected business. An explanation contains the word because, or should.

AB.D1 evaluates how a selected organisation has responded to change in order to achieve its purpose. Three things must appear: the change, the response, and a judgement of how well the response served the purpose. Balance is expected, so a response that only partly worked is a better answer than one you have decided was perfect.

WORTH KNOWING

Not every external factor points the same way. The same tightening of packaging rules that costs a small exporter six weeks of relabelling is a market opening for whoever makes recycled cartons. When you evaluate, ask who the change helps, not only whom it costs.



PEARSON · BTEC INTERNATIONAL LEVEL 2 IN BUSINESS

The qualification these criteria come from. Read the unit list, and find which units your centre teaches beyond this one.

<https://qualifications.pearson.com/en/qualifications/btec-international-level-2/business.html>

YOUR TURN

1. Sort into PESTLE: a rise in the minimum wage; a new data protection rule; a drought; an election; a fall in the euro against the dollar; a new automated till system.
2. For a bakery, explain one impact of a rise in electricity prices. Use the word because.
3. Give one external factor that could **help** a small food producer, and explain how.
4. Explain why a business with international customers watches exchange rates more closely than one selling only locally.
5. Choose a real organisation and evaluate, in 150 words, how well it responded to one change in the last five years. Name the change, the response, and your judgement, and say what evidence you used.

GO FURTHER

Take the same organisation and argue the opposite case in 80 words: that the response was the wrong one, or too late, or bought at too high a price. An evaluation you cannot argue against is usually a description wearing a better label.

KEYWORDS

external factor · political · economic · social · technological · legal · environmental · PESTLE · impact · evaluation

WORKING SPACE

Topic 1.7

Preparing your assignment

HOW IT WORKS

Unit 1 is assessed by a **Pearson Set Assignment**: a brief written by Pearson, completed under your centre's supervision, and marked by your teacher against the criteria you have met at the foot of every topic. Your evidence for this unit is a report on **two contrasting business organisations**.

The verbs in the criteria are instructions, and they rank.

VERB	WHAT THE WRITING HAS TO DO	CRITERIA HERE
Identify	name it, with evidence	A.P1
Describe	name it and give its features, in your own words	A.P2, B.P3, B.P4
Compare	set two things against a shared measure and say what differs	A.M1
Explain	give the cause and the effect, and connect them	B.M2
Evaluate	weigh how well something worked, and judge, with reasons on both sides	AB.D1

A report that describes beautifully cannot reach Merit, because comparison is a different act, not a better description. This is the single most common reason a strong-looking report is capped.

CHOOSING YOUR TWO ORGANISATIONS

The whole assignment rests on this choice, and you make it in the first week.

Choose organisations that **contrast**: different ownership, different sector, different scale. Choose organisations you can find evidence about: published accounts, an official register, a stock exchange page, a statistics office, a local business willing to answer questions. Choose one you can visit or contact, because primary research lifts a report above what everyone else found online.

Then keep a source log from the first day: what you found, where, and the date. Recreating one in the last week is the reason good reports lose marks for evidence.

WHAT THE ASSESSOR IS LOOKING FOR · THE WHOLE UNIT

Read your draft against this list before you hand it in.

- Both organisations are named, and genuinely contrasting
- Purpose is identified for each, with the evidence it came from
- Ownership, size, scale and classification are stated for each, with numbers
- The comparison uses shared measures and reaches a conclusion about purpose
- One business environment is described, characteristic by characteristic
- External factors are named specifically, not by category
- Impacts are explained, with because doing real work in the sentence
- The evaluation names a change, a response and a judgement, and gives both sides
- Every figure has a source and a date

YOUR TURN

1. Write the verb ladder from memory: identify, describe, compare, explain, evaluate. Beside each, write what it demands in six words or fewer.
2. Name two organisations you could use, and state three ways they contrast.
3. For each, write down one source you already know you can use, and what it will evidence.
4. Take question 5 from topic 1.6 and mark it yourself against the checklist above. Note which line you cannot yet tick.

KEYWORDS

assignment brief · criterion · identify · describe · compare · explain · evaluate · evidence · source log · primary research

WORKING SPACE

Topic 1.8

What we learned

HOW IT WORKS

Check yourself against the two learning aims. Write the answer before looking it up.

A • Purpose and ownership

- Name the seven purposes in the specification
- Explain the difference between revenue and profit, with an example
- Name nine forms of ownership and say who is liable in each
- State the four size bands by headcount, and the five levels of scale
- Classify a business as primary, secondary or tertiary and justify it

B • The environment

- Name the nine characteristics of a business environment
- Explain what supply and demand do to price
- Name the six external factors and give a specific example of each
- Explain one impact of one factor on one named business
- Evaluate one organisation's response to one change, with a judgement

YOUR TURN

1. Which of the ten statements above could you not complete? Write the topic number beside each gap and reread that topic only.
2. In 100 words, describe one organisation from your own town using every heading in learning aim A: purpose, ownership, size, scale, classification.
3. In 100 words, describe the environment that organisation trades in, using four characteristics and one external factor.

WORKING SPACE

Answers

HOW TO USE THESE

Closed questions have exact answers. Open questions carry **acceptance criteria**, which is what your teacher marks against, because your assignment is marked the same way. Write your answer first, then read the criteria and mark yourself.

Topic 1.1 • What a business is for

1. Driving school: provision of services. Bottled water plant: production and supply of goods. Food bank: provision of not-for-profit support and services. Haulage firm: distribution of goods. Village pharmacy: provision of services, with community engagement and support for the delivery round.
2. Revenue €96,000. Profit €4,500, because $96,000 - 91,500 = 4,500$.
3. $7,800 - 8,450 = -650$. The organisation made a **loss** of €650.
4. Accept any organisation whose purpose is not profit, with a reason drawn from evidence rather than assumption: a stated public benefit, no owners taking a surplus, funding from donation or taxation.
5. Accept an answer containing both halves: revenue is money in, and costs can exceed it, so an organisation that sells a great deal at too low a margin, or carries high fixed costs, runs out of cash while still trading well.

Topic 1.2 • Who owns the business

1. Plumber trading under their own name: sole trader. Supermarket chain listed on Euronext Lisbon: public limited company. Food bank: charity or voluntary organisation, depending on registration. Winery owned by its growers: co-operative. National rail operator: government, in Portugal a public business entity.
2. Advantage: more capital and more skills, and the work is shared. Disadvantage: profit is shared, decisions must be agreed, and in the ordinary partnership one partner's liability reaches the others.
3. Limited liability makes the company the borrower rather than the owner, so the risk is defined and a lender can price it. A bank may still ask for a personal guarantee when the company is new or has few assets, which puts the owner's property back into the deal.
4. A charity's surplus goes back into its stated cause. A social enterprise's surplus is reinvested into its social purpose while it trades commercially. The difference is where the money comes from, not where it goes.
5. Co-operative: one member one vote, surplus shared according to use. Public limited company: votes in proportion to shares held, surplus distributed as dividends in proportion to shareholding. Accept any sound link to purpose, for example that a co-operative can decide to protect grower prices where a listed company answers to shareholders expecting a return.

Topic 1.3 • Size and scale

1. 4 staff: micro. 38: small. 96: medium. 240: medium. 2,600: large.

2. Micro by size, global by scale. One word is not enough because size measures what the organisation can carry and scale measures where it trades, and digital distribution lets those two diverge completely.
3. Micro advantage: speed of decision, direct contact with customers, low overheads. Large advantage: buying power, access to capital, ability to absorb a bad year.
4. The gap of about 1.06 million is made up of people trading in their own name rather than through a company. Portuguese business is dominated by very small units, so any national policy about business is mostly a policy about micro enterprises.
5. Accept: keeping control and quality, avoiding debt, serving a market that does not grow, or the owner's own choice about how they want to work.

Topic 1.4 • Primary, secondary and tertiary

1. Sardine cannery: secondary. Wind farm: secondary, as a utility producing electricity. Hotel: tertiary. Olive grove: primary. Bank: tertiary. Shipyard: secondary.
2. Primary: growing the tomatoes. Secondary: canning them. Tertiary: selling them in its own shops.
3. $3,859,800 \div 5,275,300 \times 100 = 73.2\%$.
4. Accept: it is highly mechanised, so few workers produce a great deal, and every other sector depends on the materials and food it supplies.
5. Accept an answer that reaches the town rather than the sector: lost wages circulating locally, pressure on suppliers and services around the factory, people moving away or retraining into services.

Topic 1.5 • Reading a business environment

1. Environment and market size; predictability of markets; trends; supply and demand; demand at local, national and international levels; competitors; relative growth and decline by sector; increase of global business operations; digitisation and technological influence.
2. Predictable **seasonally**: demand is high and reliable in summer and low in winter, so the pattern repeats even though the level changes. Accept a judgement either way with evidence, for example that weather and travel prices make the level of the peak hard to forecast.
3. The demand line moves out to the right while supply stays where it is, so the two lines meet at a higher price and a higher quantity. Both lines must be labelled.
4. Accept: a supermarket with a pharmacy counter, an online pharmacy, a dispensing surgery in the next town, or the customer choosing to do nothing.
5. Acceptance criteria: one named organisation; four characteristics chosen from the nine; each one described as it appears **for that organisation**; each one with a source the learner could actually obtain.

Topic 1.6 • The six external factors

1. Minimum wage rise: economic. Data protection rule: legal. Drought: environmental. Election: political. Fall in the euro against the dollar: economic. Automated till system: technological.

2. Accept any chain that reaches a decision, for example: electricity is a significant cost because ovens run for hours, so a price rise increases the cost of every loaf, and the bakery must either raise prices, accept lower profit or change its baking schedule.
3. Accept: a support programme for exporters, a trend toward local food, a weaker euro making exports cheaper abroad, or a new rule its competitors find harder to meet.
4. Because part of its revenue or its costs is set in another currency, so the exchange rate changes the value of a sale that has already been agreed.
5. Acceptance criteria: the change is named specifically and dated; the response is described; a judgement is reached about how well the response served the organisation's purpose; at least one point is made on each side; every fact carries a source.

Topic 1.7 · Preparing your assignment

1. Identify: name it with evidence. Describe: name and give features. Compare: set against a shared measure. Explain: give cause and effect. Evaluate: weigh and judge.
- 2 to 4. Acceptance criteria: the two organisations differ in at least two of ownership, sector and scale; each named source is one an assessor would accept, so a register, a published account, an official page or the learner's own primary research; the self-marking identifies at least one checklist line not yet met.

Topic 1.8 · What we learned

Acceptance criteria for questions 2 and 3: every heading in the learning aim is covered; every figure or classification is justified rather than asserted; the two answers describe the same organisation, so the second reads as its environment rather than as a second description of the business.

Glossary

Every keyword the unit expects you to use accurately, with the topic it comes from. 47 entries.

TERM · A TO C	TOPIC	MEANING
assignment brief	1.7	The task set by Pearson for this unit, completed under supervision and marked by your teacher against published criteria.
business environment	1.5	Everything outside an organisation that shapes what it can sell, at what price and to whom.
charity	1.2	An organisation existing for a stated public benefit, whose surplus goes back into the cause rather than to owners.
classification	1.4	Sorting a business by what it does with materials: primary, secondary or tertiary.
co-operative	1.2	An organisation owned by its members, who supply it, work in it or buy from it, with one vote each.
competitor	1.5	Any alternative a customer could choose instead, including choosing to buy nothing.
costs	1.1	Everything an organisation pays out in order to keep trading.
TERM · D TO E	TOPIC	MEANING
demand	1.5	How much buyers will buy at a given price.
digitisation	1.5	The movement of trade, records and customer contact onto digital systems.
distribution	1.1	Moving goods between the people who make them and the people who use them.
equilibrium price	1.5	The price at which the amount offered and the amount wanted match.
evaluate	1.7	To weigh how well something worked and reach a judgement, giving reasons on both sides.
evidence	1.7	A source you can name and date that supports a statement you have made.
external factor	1.6	A force outside the organisation that it does not control: political, economic, social, technological, legal or environmental.
TERM · G TO I	TOPIC	MEANING
global	1.3	Trading across continents rather than within one country or region.
goods	1.1	Physical products that can be produced, supplied and distributed.
headcount	1.3	The number of staff employed, which is the measure the size bands use.
impact	1.6	What an external factor actually does to a cost, a price, a volume or an obligation.

TERM · L TO M	TOPIC	MEANING
large	1.3	An organisation with 250 staff or more.
limited liability	1.2	Protection under which an owner can lose only what they invested, not their personal property.
loss	1.1	The result when costs are greater than revenue.
medium	1.3	An organisation with 50 to 249 staff.
micro	1.3	An organisation with up to 9 staff.
TERM · P	TOPIC	MEANING
partnership	1.2	Two or more owners trading under an agreement setting out shares of profit and responsibility.
PESTLE	1.6	The six external factors: political, economic, social, technological, legal and environmental.
primary research	1.7	Evidence you gather yourself, such as a visit, an interview or a questionnaire.
primary sector	1.4	Businesses that extract what nature provides, such as farming, fishing, forestry and mining.
private limited company	1.2	A company owned by shareholders with limited liability whose shares are not offered to the public, in Portugal an Lda.
profit	1.1	What is left when every cost has been taken from revenue.
public business entity	1.2	A state-owned organisation answerable to a ministry rather than to shareholders, in Portugal an E.P.E.
public limited company	1.2	A company whose shares may be bought and sold by the public on a stock exchange, in Portugal a listed S.A.

TERM · P TO S	TOPIC	MEANING
purpose	1.1	What an organisation exists to do, which is not the same as what it sells.
revenue	1.1	The money coming in from sales, before any cost is taken off.
scale	1.3	The geographical reach of trading: local, regional, national, European or global.
secondary sector	1.4	Businesses that turn raw materials into finished goods, including manufacturing, construction and utilities.
shareholder	1.2	Somebody who owns part of a company and has a claim on its profits.
small	1.3	An organisation with 10 to 49 staff.
SME	1.3	Small and medium sized enterprise, defined by staff headcount together with a turnover or balance sheet ceiling.
social enterprise	1.2	An organisation that trades like a business and reinvests its surplus into a social purpose.
TERM · S TO T	TOPIC	MEANING
sole trader	1.2	One owner trading in their own name, with unlimited liability.
source log	1.7	A running record of what you found, where and on what date.
supply	1.5	How much sellers will offer at a given price.
tertiary sector	1.4	Businesses that provide services rather than things, such as retail, tourism, banking and transport.
trend	1.5	The direction in which needs, wants, incomes or a market are moving over time.
TERM · U TO V	TOPIC	MEANING
unlimited liability	1.2	Exposure under which a business debt is also the owner's personal debt.
value added	1.4	The value a stage of production adds to the materials it receives.
voluntary organisation	1.2	An organisation running mainly on unpaid work for a shared aim.

Sources and references

Every statistic, every real organisation and every QR destination in this book, with the publisher and the date the page was read. Your own assignment needs a list exactly like this one, and an assessor will ask for it.

Statistics

1,593,415 enterprises in Portugal, 2024

INE, VIA PORDATA · CHECKED 2026-08-13

<https://www.pordata.pt/portugal/empresas+total+e+por+setor+de+atividade+economica-2856>

532,174 non-financial companies, 2024, up 3.8% on 2023

INE, EMPRESAS EM PORTUGAL, DEFINITIVE RESULTS, PUBLISHED 2025-12-11 · CHECKED 2026-08-13

https://www.ine.pt/xportal/xmain?xpid=INE&xpgid=ine_destaques&DESTAQUESdest_boui=707493212&DESTAQUESmodo=2&xlang=pt

Employment 2025: 5,275,300 total; 129,000 primary; 1,286,400 secondary; 3,859,800 tertiary

INE, VIA PORDATA · CHECKED 2026-08-13

<https://www.pordata.pt/portugal/populacao+empregada+total+e+por+grandes+setores+de+atividade+economica-32>

Micro under 10 staff, small under 50, medium under 250, with turnover and balance sheet ceilings

EUROPEAN COMMISSION · CHECKED 2026-08-13

https://single-market-economy.ec.europa.eu/smes/sme-fundamentals/sme-definition_en

Real organisations named in this book

Jerónimo Martins, SGPS, S.A.

LISTED ON EURONEXT LISBON, ISIN PTJMT0AE0001 · CHECKED 2026-08-13

<https://live.euronext.com/en/product/equities/PTJMT0AE0001-XLIS>

Adega de Borba

A WINE CO-OPERATIVE IN THE ALENTEJO WITH MORE THAN SEVENTY YEARS IN THE SECTOR · CHECKED 2026-08-13

<https://adegaborba.pt/>

CP · Comboios de Portugal, E.P.E.

A PUBLIC BUSINESS ENTITY, STATE HOLDING REGISTERED WITH THE ENTIDADE DO TESOURO E FINANÇAS, MISSION IS PASSENGER RAIL TRANSPORT · CHECKED 2026-08-13

<https://www.etf.gov.pt/cp>

Empresa na Hora

STATE SERVICE CREATING SOCIEDADES POR QUOTAS, UNIPessoais por quotas and sociedades anónimas at a counter · CHECKED 2026-08-13

<https://www.gov.pt/servicos/criar-uma-empresa-na-hora>

QR destinations

How many businesses does Portugal really have

QR CODE IN THIS BOOK · CHECKED 2026-08-13

<https://www.pordata.pt/pt/estatisticas/empresas>

What creating a company actually involves

QR CODE IN THIS BOOK · CHECKED 2026-08-13

<https://www.gov.pt/servicos/criar-uma-empresa-na-hora>

Who owns a public company, share by share

QR CODE IN THIS BOOK · CHECKED 2026-08-13

<https://live.euronext.com/en/markets/lisbon>

The full SME definition, with the money tests

QR CODE IN THIS BOOK · CHECKED 2026-08-13

https://single-market-economy.ec.europa.eu/smes/sme-fundamentals/sme-definition_en

Where Portugal actually works, sector by sector

QR CODE IN THIS BOOK · CHECKED 2026-08-13

<https://www.pordata.pt/portugal/populacao+empregada+total+e+por+grandes+setores+de+atividade+economica-32>

The qualification these criteria come from

QR CODE IN THIS BOOK · CHECKED 2026-08-13

<https://qualifications.pearson.com/en/qualifications/btec-international-level-2/business.html>

Constructed for teaching. Padaria da Praça, the bicycle workshop partnership, the four organisations in the size table, the cork chain stages and Cerâmica do Vale are built for this book. They carry the shape of real small businesses and no real firm's figures, and each says so where it appears.

Qualification content. Pearson BTEC International Level 2 qualifications in Business, specification Issue 1, December 2023. Unit 1: Business Purposes, 30 guided learning hours, assessed by a Pearson Set Assignment. The specification is the authority on what is assessed; the teaching in this book is original.

For teachers

THE SHAPE OF THIS UNIT

Unit 1 carries 30 guided learning hours and is assessed by a Pearson Set Assignment against A.P1, A.P2, A.M1, B.P3, B.P4, B.M2 and AB.D1. The book teaches the content areas in specification order, A1 to A4 then B1 to B2, and adds two sections of its own: 1.7 prepares the assignment, and 1.8 is a self-check against the learning aims.

The **What the assessor is looking for** panels are the spine of the unit. They are placed at the point of teaching rather than collected at the end, because the common failure in this unit is not knowledge, it is producing description where the criterion asks for comparison or evaluation.

DELIVERY NOTES

Choose the two organisations early. Topic 1.7 asks for the choice in the first week, and the quality of the assignment is largely decided there. Learners who choose two similar organisations cannot reach A.M1 whatever they write.

Insist on the source log from the first lesson. Every worked example in this book carries its evidence column for that reason.

Real and constructed businesses are marked as such on the page. Four real organisations are used and cited: a listed company, a co-operative, a public business entity and the state company registration service. Every other business in the unit is constructed for teaching and says so, which keeps the modelling honest while learners research real firms of their own.

Employer involvement. The specification names guest speakers, interviews, work experience and visits. Topics 1.2, 1.5 and 1.6 all carry questions that a visiting owner can answer better than a textbook can.

The figures are dated. Every statistic in the book carries its publisher and the date it was checked in Sources and references. When a figure is superseded, replace it in `MARKDOWN/05-SOURCES-01.md` and rebuild, rather than editing a rendered page.

ASSUMPTIONS THIS EDITION MAKES

The book assumes a learner who reads British English comfortably and has no prior business study. Portuguese context is used throughout because the learners are in Portugal: euros, the metric system, the 24 hour clock, and organisations they can visit.

It assumes access to the internet for the six QR destinations, all of which are institutional sources suitable for citation in an assignment.

It does not assume a particular size of qualification. Unit 1 is mandatory in the business sector suite at this level, and the units a centre teaches beyond it depend on the qualification size offered.